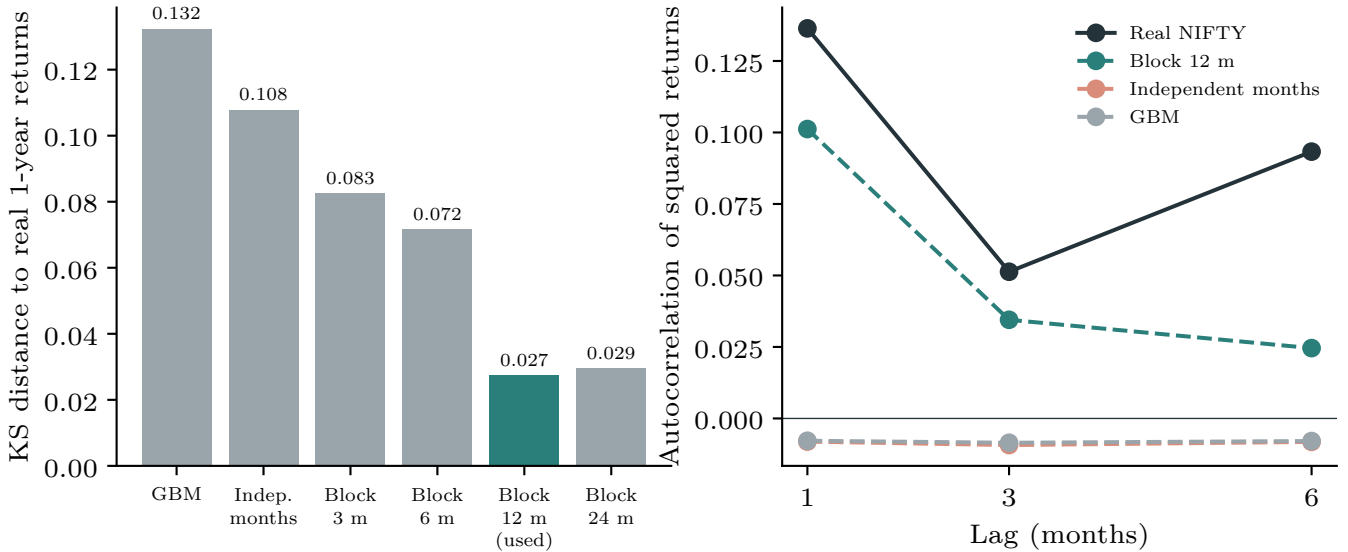
(a) Shape of one-year returns (lower is closer)
KS distance to real 1-year returns
0.00
0.02
0.04
0.06
0.08
0.10
0.12
0.132
0.108
0.083
0.072
0.027
0.029
GBM
Indep. months
Block 3 m
Block 6 m
Block 12 m (used)
Block 24 m
(b) Volatility clustering
Autocorrelation of squared returns
0.000
0.025
0.050
0.075
0.100
0.125
Real NIFTY
Block 12 m
Independent months
GBM
1
3
6
Lag (months)